

WYFI pitch deck

Read access to the reports directory wasn't granted and I have no file-write tool in this session, so the deliverable is the deck itself, below, built strictly from the two benches' record.

PITCH — WYFI — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: No entry. Evidence-gated WATCH — the stock is not buyable on price alone at any level; it reopens only on one of three named proof events (both benches at conviction 8/10, red's outright REJECT partially overturned by blue).

What we believe

WhiteFiber (WYFI, ~\$29.52, market cap ~\$1.14B, enterprise value ~\$1.4B including \$230M of 2031 convertible notes and ~\$85–95M of drawn credit facilities against \$56M cash) is a real, aggressively-building AI data-center company whose stock price already pays for success that has not yet been proven.

Three things we hold with confidence after the adversarial review:

- 1. The headline quarter was weaker than it looked.** Q2 revenue of \$28.8M (+54% year over year) included a \$12.3M one-time customer-termination fee booked inside cloud revenue. Strip it and the underlying business did about \$16.5M against \$18.7M a year ago — down roughly 11%. The cloud segment specifically shrank about 31%; the colocation segment grew about 173% from a small base. The same defaulting customer also cost \$2.2M in credit write-offs. All of this is in the company's own 10-Q:
https://www.sec.gov/Archives/edgar/data/0002042022/000121390026088026/ea0300877-10q_whitefiber.htm
- 2. Nearly the whole story is one customer.** Of the \$1.008B in contracted future revenue, \$932.9M is the single 10-year, 40MW colocation contract with Nscale at the NC-1 campus. There is no executed letter of credit, deposit, or guarantee behind it — the company says credit support is being “actively evaluated,” and the “investment-grade credit support” language in the earnings release attaches to *future* pipeline deals, not this contract. WhiteFiber just demonstrated on its own books (the \$12.3M termination plus write-off) what happens when a big customer walks.
- 3. The build is real, but the prize doesn't clear our bar at the current price.** Construction-in-progress on the audited balance sheet went from \$157M to \$485M in six months on \$345M of capital spending, and customer prepayments doubled to \$143M — money is genuinely flowing in and into the ground. But price the contract at face value: \$865M over 10 years is ~\$86.5M/year; at a 65–75% margin for a powered-shell landlord that's \$56–65M/year of earnings, worth roughly \$0.7–1.0B at 12–15×. A *fully performing* NC-1, plus the ~\$66M-a-year underlying business, sits

at or below today's ~\$1.4B enterprise value. Even if everything works, the upside at contracted scope doesn't reach +50%. Upside requires expansion beyond 40MW or new tenants — which don't exist yet.

What the market believes

The market paid +16.6% on the Q2 print and has the stock at ~21× underlying (fee-stripped) run-rate revenue, 37% below its 52-week high but +181% above its 52-week low. The implicit belief: the +54% headline growth is real growth, NC-1 energizes on schedule (“full run-rate billing later this month” per management), the Nscale contract is money-good, and the campus expands beyond the first 40MW. Two mechanical caveats on reading that tape: Bit Digital still owns ~69.6% of the company, so the free float is only ~\$350M — a thin float that makes one day's pop weak evidence of anything — and the parent stake is a standing source of future share supply (the IPO lockup lapsed around February 2026, though no sale registration is on file).

Why we might have edge

- **We did the fee-strip arithmetic.** The \$12.3M termination fee is disclosed, but the headline “+54%” is what circulates. Anyone who reads the revenue note reaches “down 11% underlying”; the tape's reaction suggests most didn't.
- **We priced the whole capital structure.** The red bench itself initially priced only the equity; adding converts and drawn facilities takes the multiple from ~17× to ~21× underlying revenue and makes the valuation problem worse, not better.
- **We priced the prize, not the vibe.** The face-value math on the Nscale contract (above) is the load-bearing bearish fact, and it survives even if construction and energization go perfectly. That is a sturdier reason for no-entry than any construction skepticism.
- **We know exactly what would change our mind**, and each trigger is a public, dated, checkable event (see reopen conditions below) rather than a feeling.

Why it might be priced in

Symmetry requires saying the bear case is partly priced and partly wrong:

- The stock is already 37% off its high; some Nscale-concentration fear is plainly in the price.
- The strongest bearish “physical evidence” died under review. Our red bench claimed satellite/thermal data refuted the NC-1 energization — the blue bench showed the satellite scenes predate the claim window entirely (the “recent” construction scene was from November 2025) and that the temperature downtrend at the site reflects the prior industrial tenant's shutdown, not a failed startup. The audited \$157M→\$485M construction-in-progress series corroborates a real buildout.
- “The cloud expansion is dead” also died: the Montreal MTL-3 site shows no construction because WhiteFiber exercised its purchase option and *bought the finished building* in May 2026 for CAD

\$24.7M. A completed, purchased asset is commitment, not retreat.

- Nscale is not the same kind of counterparty as the customer that defaulted: it raised a \$1.1B Series B (<https://www.nscale.com/press-releases/nscale-series-b>) plus \$433M shortly after, carries ~\$790M of debt financing, holds a ~\$14B GPU deal anchored by Microsoft (<https://www.cnbc.com/2025/10/15/nscale-eyes-ipo-amid-fresh-14-billion-deal-with-microsoft-.html>), and is on a 2026 IPO track. Concentration is a sizing problem, not a presumption of default.

Where the bull case is *not* priced in — and this cuts against entry, not for it — is the gap between today's enterprise value and what the contracted scope is worth even when it works.

What we checked ourselves

claim	how checked	found	confirmed?
" +54% revenue growth"	Q2 10-Q revenue note + earnings PR, fetched from SEC directly	\$12.3M one-time termination fee inside cloud revenue; underlying total -11.4%, cloud -31%, colocation +173%	Yes — headline growth is a break fee
\$932.9M backlog = one customer, no executed credit support	10-Q remaining-performance-obligation and commitments disclosures	Confirmed; "credit support" language attaches to future deals only	Yes
Red bench: "Nscale can't be shown able to pay"	Nscale's public raises, debt, Microsoft deal, IPO track (blue bench)	\$1.1B + \$433M equity, ~\$790M debt, \$14B anchor deal	No — our red bench erred: it flagged the gap without checking; the check refutes it
Red bench: "satellite/thermal data refute NC-1 energization"	Scene dates vs claim window; audited construction-in-progress \$157M→\$485M, \$345M half-year capex	Scenes predate the claim window; temperature trend explained by prior tenant shutdown; financials corroborate the build	No — our red bench erred, applying its own scene-recency rule asymmetrically
Red bench: "MTL-3 paused → cloud capacity leg dead"	10-Q subsequent-events / property notes	Building was purchased outright 2026-05-08 (CAD \$24.7M option exercise); no activity because it's finished	No — our red bench erred
Red bench: "customer prepayments are a liability that offsets nothing"	10-Q contract-liability rollforward	\$143.1M is cash already received, doubled from \$79.6M in six months; obligation is service delivery, not repayment	Partly — red inverted the economics; the real risk is \$345M/half capex vs \$60M liquidity with NC-1 financing unsigned
Market-cap framing	Full capital structure (converts + facilities – cash)	Red priced equity only (~\$1.14B); enterprise value ≈ \$1.4B, ~21× underlying revenue	Red understated its own point; corrected
Our own tape validator flagged red's "+181% off the low" as a misquote	Recomputed (29.52–10.51)/10.51	+180.9% — red was right; the validator compared the raw fraction	Our validator erred, not the bench

claim	how checked	found	confirmed?
Satellite “construction confirmed through Q2-26”	Scene-date audit	Most recent scene 2025-11-23 — predates 2026 entirely	Data artifact — barred from both cases

PROPOSED ENTRY BANDS

The courts say no entry, at any price, on price alone — so these are reopen conditions, not buy levels.

Why no price band: WhiteFiber trades with the AI-infrastructure complex, and its one material asset is a contract with an AI-compute counterparty. Any tape that marks this stock down to an “attractive” level almost certainly arrives *because* that complex — and therefore the Nscale contract’s value — is impaired. A bare price trigger here would fire precisely when the thesis is worse, so none is armed. For reference only, the benches’ own math says a fully performing contracted scope backs roughly \$11–19/share (NC-1 worth \$0.7–1.0B minus ~\$264M net debt, over 38.66M diluted shares) plus whatever the shrinking underlying business is worth — i.e., today’s \$29.52 already prices success plus expansion.

Reopen triggers — any ONE reopens the name for a fresh court: 1. **8-K disclosing an executed Nscale credit enhancement or guarantee** (letter of credit, deposit, parent/customer guarantee) behind the \$932.9M contract — converts the concentration risk from unsecured to secured. 2. **8-K disclosing NC-1 secured financing signed on stated terms** — closes the \$345M-per-half-year capex vs \$60M liquidity gap. 3. **Q3 print (est. 2026-11-12, date unconfirmed): colocation revenue ≥ \$14M with receivables roughly flat** — the contracted rate actually billing *and collecting*. This is the benches’ pre-committed pass/fail number; below it, the “full run-rate billing in August” claim failed its first test.

Even after a reopen, entry requires the prize to clear: disclosed expansion beyond 40MW or a second anchor tenant, because at contracted scope the fully-performing value sits at or below today’s enterprise value.

Sizing: zero now (we hold no position and no orders). Any future entry after a reopen would carry a single-customer concentration haircut and the parent-overhang (69.6% Bit Digital stake) haircut from the start.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 8-K until 2027-02-11 (deck-provisional: executed Nscale credit enhancement/guarantee OR NC-1 secured financing signed - either reopens the nam)
- dated pack WYFI|2026-11-12: Tier A: this print tests a hard, pre-committed number that management put on the record, which makes it gradeable rather than interpretive.

What remains unverified

- **NC-1 energization and run-rate billing.** Management said “full run-rate billing later this month” (August). No independent physical or third-party confirmation exists yet; the audited construction spending makes it *plausible*, not *proven*. First hard test is the Q3 print.
- **Nscale’s contract-specific commitment.** Its fundraising is public; a guarantee, deposit, or letter of credit behind *this* contract is not. Being well-funded and being obligated-with-collateral are different things, and Nscale’s own \$14B of anchor commitments compete for its balance sheet. Its audited financials remain private until an IPO.
- **The next print date** (2026-11-12 — vendor-derived, no company PR).
- **Flow and positioning.** Short interest, institutional ownership, and analyst coverage were not pulled (data-access gap); the print reaction is unattributed.
- **NC-1 secured financing terms.** The company was in “exclusivity” only as of the 10-Q, and previously admitted the process ran slower than expected. Until signed, the company is funding a ~\$690M-a-year build pace off \$60M of liquidity plus customer prepayments.

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Two process notes for the adjudicator: (1) the fence’s `price_gates` is intentionally empty — the benches’ logic is that any bare price level on this name self-triggers in the state of the world where the thesis is worse, so reopening is event-gated only; (2) I could not write this deck to `desk/reports/` (read/write access to that directory wasn’t granted this session and no file-write tool is available), so it needs to be saved to `WYFI_PITCH_DECK_20260815.md` alongside the `CLSK/IREN/JBGS/SPRY` decks, and the dashboard ledger upsert for WYFI (evidence-gated WATCH, no entry, sensors as listed) is still owed as the closing step.